

Sample Template | Sample

8

OF 10

Provisions require attention.

So does the typical PBM contract. **Less than 15% of contracts reviewed in our reference dataset would meet a fiduciary-aligned standard.**

4 Flag

4 Concern

2 Good

ANALYST FINDING

Contract carries 4 red flags, most critically: explicit fiduciary disclaimer, carve-out repricing penalty, PBM-retained manufacturer revenues, and PBM-controlled auditor selection. Overall posture is materially unfavorable to Plan Sponsor.

Fiduciary Conduct

RED FLAG

P1 · P6 · P8

Financial Integrity

RED FLAG

P2 · P3 · P10

Oversight & Control

RED FLAG

P4 · P5 · P7 · P9

PROVISIONS REVIEWED

10 OF 10 · TIER CLASSIFICATIONS

| #   | PROVISION                                                                                                 | FINDING                                                                                                                                                                                                                                                                        | STATUS               |
|-----|-----------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|
| P1  | <b>Fiduciary Loyalty Commitment</b><br><i>Does the PBM stand behind your fiduciary duty?</i>              | Contract explicitly disclaims fiduciary status with no commitment to support Plan Sponsor's fiduciary obligations, placing sole responsibility on Client.                                                                                                                      | RED FLAG             |
| P2  | <b>Pass-Through Pricing Integrity</b><br><i>Are pharmacy claims billed at the price actually paid?</i>    | Contract uses an AWP discount schedule with no pass-through commitment and no 'exact amount' equivalence language, and is silent on DIR fees and retroactive adjustments.                                                                                                      | CONCERN<br>CAA 2026  |
| P3  | <b>Rebate &amp; Manufacturer Revenue</b><br><i>Is every dollar from manufacturers passed through?</i>     | Contract commits to 100% pass-through of 'Rebates' but explicitly excludes administrative service fees, market development funds, performance payments, and other manufacturer revenues from that definition, which are retained by the PBM.                                   | RED FLAG<br>CAA 2026 |
| P4  | <b>Data Ownership &amp; Rights</b><br><i>Who owns the claims data, you or the PBM?</i>                    | Contract states Claims Data is Client's property but grants PBM broad de-identified data use rights for product development and other PBM business purposes without Client consent or compensation.                                                                            | CONCERN              |
| P5  | <b>Audit Rights &amp; Verification</b><br><i>Can you audit financial arrangements independently?</i>      | Contract restricts auditor selection to a PBM-approved vendor list, prohibits extrapolation of findings, excludes aggregator and manufacturer contract access, and imposes a blackout period.                                                                                  | RED FLAG<br>CAA 2026 |
| P6  | <b>Conflict of Interest &amp; Network</b><br><i>Are PBM-affiliated pharmacies and steering disclosed?</i> | Contract warrants no current pharmacy ownership extending to affiliates and family members, includes a forward-looking acquisition prohibition with Client termination right, and contains an explicit anti-steering commitment with 90-day network change notice.             | GOOD<br>CAA 2026     |
| P7  | <b>Carve-Out &amp; Vendor Rights</b><br><i>Can you carve out specialty drugs to a competing vendor?</i>   | Contract designates PBM as preferred provider and reserves the right to reprice guarantees if Client engages any third-party vendor performing claims adjudication, formulary management, or specialty drug distribution, creating financial penalties for carve-out activity. | RED FLAG             |
| P8  | <b>Lowest Net Cost &amp; Clinical</b><br><i>Does the formulary optimize for cost rather than rebates?</i> | Contract describes formulary management based on clinical efficacy and cost-effectiveness standards but contains no explicit lowest-net-cost commitment and no anti-rebate-chasing language.                                                                                   | CONCERN<br>CAA 2026  |
| P9  | <b>Termination &amp; Clean Exit</b><br><i>Can you exit cleanly, without penalty?</i>                      | Contract permits without-cause termination on 90 days notice with no early termination fee, earned rebates paid through termination date, and transition assistance including continued adjudication for up to 90 days.                                                        | GOOD                 |
| P10 | <b>Administrative Fee Transparency</b><br><i>Are administrative fees fully disclosed and verifiable?</i>  | Contract itemizes fees with PEPM rates and includes a sole-compensation attestation with annual verification, but the attestation is explicitly carved out for PBM-retained manufacturer revenues under Section 4.2, and no benchmarking right is provided.                    | CONCERN<br>CAA 2026  |

## The three most significant red flags.

These warrant the analyst finding. Each is fixable in negotiation, none is fixable after signature. **The Full Assessment shows you all 8 Red Flag and Concern provisions with redline language for each.**

### P1 Fiduciary Loyalty Commitment

RED FLAG

Contract explicitly disclaims fiduciary status with no commitment to support Plan Sponsor's fiduciary obligations, placing sole responsibility on Client.

MARKET PATTERN 84% of contracts in our reference dataset score Red Flag or Concern on this provision.

### P3 Rebate & Manufacturer Revenue

RED FLAG

Contract commits to 100% pass-through of 'Rebates' but explicitly excludes administrative service fees, market development funds, performance payments, and other manufacturer revenues from that definition, which are retained by the PBM.

MARKET PATTERN Only 26% of contracts score Red Flag or Concern on rebate language. This contract is in the lower-scoring quarter of the market.

### P5 Audit Rights & Verification

RED FLAG

Contract restricts auditor selection to a PBM-approved vendor list, prohibits extrapolation of findings, excludes aggregator and manufacturer contract access, and imposes a blackout period.

MARKET PATTERN 71% of contracts score Red Flag or Concern on audit rights.

#### CAA 2026 READINESS

5 of 6 CAA 2026 provisions fall short of fiduciary standards.

5 of 6  
FLAGGED

Section 6701 requires your PBM to report what it pays pharmacies, what it collects from manufacturers, how much it dispenses through pharmacies it owns, and why a higher cost drug sits where it does on your formulary. Section 6702 makes the contract reasonable only if 100 percent of that revenue reaches the plan and you can audit it yourself.

§ 6701 Reporting and disclosure to the plan sponsor P2 · P3 · P6 · P8 · P10

§ 6702 Contract reasonableness, full pass-through, and independent audit P3 · P5 · P10

Effective dates run through 2029. Nothing stops you from asking for this language now.

#### NEXT STEP · FULL ASSESSMENT

Everything you need to fix all 8 Red Flag and Concern provisions.

##### CONTRACT SCORECARD

The full 10-provision breakdown with your Fiduciary Alignment Score and methodology citations.

##### NEGOTIATION REPORT

Specific contract language to redline for every flagged provision, prioritized for your next renewal or procurement.

##### DATA SOVEREIGNTY SCORE

A focused score on the five provisions that determine who controls your data, your audits, and your rebate flow.

##### EXECUTIVE BRIEF

A board-ready briefing document for the fiduciary conversation with leadership.

Statutory mappings, redline language, and a board-ready briefing. **Delivered in 72 hours.**

UPGRADE →

**Disclaimer.** This assessment is for informational and educational purposes only and does not constitute legal, financial, or professional advice. Findings reflect contractual language only and may differ from operational practice. Plan sponsors should consult qualified counsel before acting on these findings.